

Management Report

Mercedes
IndusMoney

Code: 17C1

for Group 7 Company 6

PLEASE CHECK ...

your decisions

Year 2018 Qtr 1

Advertising: (€'000)

	Corporate	Product 1	Product 2	Product 3
Europe	18	12	16	8
Nafta	10	6	7	6
Internet	22	15	16	12

Prices (€):

Europe	340	490	700
Nafta	330	500	710
Internet	310	575	840

Quantities to deliver to:

European agents	140 *	90 *	40
(Not in full Nafta distributors	40 *	25 *	15
if starred) Internet distributor	20 *	15 *	15

Quality:

Take up product improvements	0	0	0
Product development (€'000)	15	20	12
Assembly times (minutes)	100	150	300
Premium materials (%)	0	0	0

Subcontracting:

Components to order (units)	50	30	20
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Agents and distributors:

European agents
Nafta distributors
Internet distributor

Number needed
3
1

Support (€'000)
10
8
9

Commn. %
7
6
5

Operations:

Materials to buy ('000)	Spot	6	3mth	3	6mth	1
Maintenance hours/machine		28	Shift level			2
Number of ports operated		16	Web-site development			25

Personnel:

Assembly workers to recruit	0	Number to train	3
Hourly wage rate (€c)	12,35		
Management budget (€'000)	80 *	Staff training (days)	3

Finance:

Shares to issue/repurchase	0	Dividend (cents/share)	0
Term loans (€'000)	500	Term deposit (€'000)	-400
Machines to buy	2	Machines to sell	0
Factory extension (sq. m.)	25	Insurance plan	1

Information:

Market shares	0	Corporate activity	1
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PHYSICAL RESOURCES: Usage and availability

Space:	Sq. m.
Land owned	1000
Access/parking etc	200
Unused land	275
Factory size next quarter	525
Circulation and access	131,25
Machining operations	150
Assembly operations	190
Material and component stocks	87
Available space (overflow if negative)	-33

Machines:	Number
Number decommissioned	0
Machines in use last quarter	4
Number bought and installed	2
Machines available for next quarter	6

Theoretical hours available	4272
Hours breakdown	2
Hours worked	367
Hours planned maintenance	110
Average machine efficiency %	95,5

Materials:	
Opening stock available	10652
Bought spot	6000
Bought default	0
Lost or destroyed	0
Used	471
Closing stock	16181
For delivery next quarter:	
Bought last quarter	3000
Bought quarter before last	2000
For delivery quarter after next:	1000

Internet statistics:

Number of web-site ports operated	16
Number of visits to your web-site	30173
Estimated level of failed visits (%)	0
Number of internet service complaints	3

HUMAN RESOURCES:**Production personnel:**

	Assembly	Machining
At start of last quarter	18	27
Recruited	0	5
Trained	3	
Dismissed	0	0
Left	2	7
Available for next quarter	19	25

Assembly workers:

Hours available	9504
Absenteeism/sickness (hours)	265
Hours worked	1040
Notice of strike weeks for next quarter	0

Agents/distributors:

	Europe	Nafta	Internet
Active last quarter	3	1	1
Resigned	0	0	
Dismissed	0	0	0
Appointed	0	0	0
Active next quarter	3	1	1

Transport:

	Europe	Nafta	Internet
Journey length (km)	1381	500	300
Number of loads	1	1	1

Carbon footprint (CO2e):

	Tonnes
Factory heating and lighting	4,99
Energy used in production	1,69
Total primary CO2e	6,67

PRODUCT DATA:

	Product 1	Product 2	Product 3
Quantities:			
Scheduled	138	75	70
Produced	207	134	72
Rejected	7	4	2
Lost or destroyed	62 !	55 !	0

Delivered to:

European agents	96	51	40
Nafta distributors	28	15	15
Internet distributor	14	9	15

Orders from:

Europe	476	440	306
Nafta	30	34	30
Internet	814	356	223

Sold to:

Europe	96	51	40
Nafta	28	15	15
Internet	14	9	15

Backlog of orders:

Europe	366	321	185
Nafta	29	28	19

Warehouse stocks:

Europe	0	0	0
Nafta	0	0	0
Internet	0	0	0

Guarantee services

	33	21	14
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Product improvements

	Minor	None	None
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Product components:

Assembled last quarter	80	70	0
Ordered last quarter	50	30	20
Closing stock	0	0	0
Available for assembly	50	30	20

FINANCIAL STATEMENTS							
ADMINISTRATIVE EXPENSES	€	INCOME STATEMENT	€	BALANCE SHEET	€	CASH FLOW STATEMENT	€
Advertising	148000	Sales revenue	135975	Non-current assets:		Operating activities:	
Internet distributor	10105			Land	50000	Trading receipts	339267
Internet service provider	14663	Opening inventory values	691272	Buildings	262500	Insurance receipts	46021
Agents and distributors	81057	Components purchased	18700	Machinery	1577548	Trading payments	1471453
Sales office	12842	Materials purchased	634286	Property, plant and equipment	1890048	Tax paid	0
Guarantee servicing	8630	Machine running costs	42336			Net cash flow from operations	-1086165
Product development	47000	Machinists wages	123302	Current assets:		Investing activities:	
Web-site development	25000	Assembly wages	63577	Product inventories	0	Interest received	0
Personnel department	33500	Quality control	413	Component inventories	18700	Asset sales	0
Machine maintenance	9520	Hired transport	12550	Materials inventory	1183207	Assets purchased	612500
Purchasing and warehousing	13726	Less closing inventory values	1201907	Trade receivables	110750	Net cash flow from investing	-612500
Business intelligence	7500	Cost of sales	384529	Cash and cash equivalents	294924		
Credit control	283	Gross profit	-248554	Current assets	1607581	Financing activities:	
Insurance premiums	12055	Administrative expenses	514147	Total assets	3497629	Shares issued	0
Management salaries	80000	Insurance receipts	46021			Shares repurchased	0
Other costs	10266	Depreciation	40450	Liabilities:		Dividends paid	0
Total administrative expenses	514147	Operating profit/loss	-757130	Tax due	0	Additional loans	500000
Accumulated taxable profit:		Finance income	0	Trade payables	543919	Interest paid	12500
Profit/loss before tax	-769630	Finance expense	12500	Bank overdraft	0	Net cash flow from financing	487500
Previous taxable profit/loss	-776660	Profit/loss before tax	-769630	Current liabilities	543919		
Taxable profit/loss	-1546290	Tax assessed	0	Term loans	500000	Net cash flow	-1211165
		Profit/loss for the period	-769630	Net assets	2453710	Previous cash balance	1506089
		Earnings per share (cents)	-19,24			Cash balance	294924
				Equity:		(including a term deposit of -	0)
Insurance claimed	48030	Dividends paid	0	Share capital	4000000	Overdraft limit for next quarter	313000
Primary non-insured risk	2009	Transferred to retained earnings	-769630	Share premium account	0	Borrowing power next quarter	186000
		Previous retained earnings	-776660	Retained earnings	-1546290		
		Retained earnings	-1546290	Total equity	2453710		

ECONOMIC INTELLIGENCE

	Europe	Nafta	Rest (of developed world)
Gross domestic product (de-seasonalised)	4237	4352	6143
% Unemployment rate (de-seasonalised)	8,3	4,4	
Balance of external trade	1755	1774	

Information about next quarter:

Central Bank base rate (% p.a.)	0,6	1,1	Exchange rate in € per \$ (USD)	0,83
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Building cost (€ per square metre)	500
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Component cost (€ per unit)	Product 1	Product 2	Product 3
from (no premium materials)	125	206	317
to (100% premium materials)	158	272	416

Material prices (\$ per '000 units)	Spot price	3 month	6 month
	79345	75378	71410

BUSINESS REPORT:

Sales are beginning to tighten up as previous forecasts look too optimistic. Companies are hoping that the improvements they made in reducing costs and targetting marketing will now prove worthwhile.

FREE INFORMATION

	Company 1	Company 2	Company 3	Company 4	Company 5	Company 6	Company 7	Company 8
Stock market data:								
Share price (cents)	112,49	76,07	96,55	84,21	78,91	49,95	97,85	99,06
Market valuation (€)	4454604	3042800	3862000	3705240	3156400	1998000	4305400	3962400
Dividend paid (cents/share)	0	0	0	0	0	0	0	0
Investment performance (€)	4488227	3042800	3862000	3285671	3156400	1998000	3885831	3962400
Business intelligence:								
Product prices (€)								
Product 1: Europe	390	325	370	310	340	340	341	360
Nafta	380	325	410	310	335	330	325	400
Internet	390	325	455	310	380	310	338	500
Product 2: Europe	620	515	530	505	525	490	586	540
Nafta	600	525	570	505	550	500	559	565
Internet	620	535	670	505	675	575	559	725
Product 3: Europe	875	750	770	825	780	700	945	780
Nafta	850	750	800	825	800	710	796	830
Internet	900	880	950	825	930	840	909	999
Production employees	57	56	73	57	58	50	86	78
Assembly wage rate (cents/hr)	1200	1200	1230	1200	1200	1235	1280	1220
Number of agents/distributors	11	5	10	11	5	4	6	6

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COMPANY BALANCE SHEETS

for Company:

	1	2	3	4	5	6	7	8
Assets								
Property, plant and equipment	1945294	1570606	1335048	1442548	1870236	1890048	1442548	1442048
Inventories	2217406	1151950	956471	2717550	585303	1201907	1372015	1026273
Trade receivables	1693539	636256	1306558	1601673	541721	110750	1482338	1220694
Cash and cash equivalents	1150000	1250000	1150000	1150000	1170000	294924	819460	923007
Liabilities								
Tax assessed and due	0	0	0	0	0	0	0	0
Trade payables	701048	574718	570377	1238562	400814	543919	1074795	894270
Bank overdraft	2347488	782758	425683	2194754	376629	0	0	0
Long term loans	0	0	0	0	0	500000	0	0
Equity								
Ordinary capital	3960000	4000000	4000000	4400000	4000000	4000000	4400000	4000000
Share premium account	4852	0	0	17480	0	0	17480	0
Retained earnings	-7149	-748664	-247983	-939025	-610183	-1546290	-375914	-282248
Net Worth	3957703	3251336	3752017	3478455	3389817	2453710	4041566	3717752

PURCHASED INFORMATION

Not requested

Company number:

Market shares (% by volume sold)

Product 1: Europe
 Nafta
 Internet
 Product 2: Europe
 Nafta
 Internet
 Product 3: Europe
 Nafta
 Internet

Competitors' business activity

Company number:

	1	2	3	4	5	6	7	8
Total advertising expenditure (€)	294000	91000	160000	314000	67000	148000	327000	275000
Total product development (€)	110000	80000	70000	110000	70000	47000	110000	145000
Consumer star ratings:								
Product 1	****	**	***	****	**	**	****	***
Product 2	****	***	**	****	**	**	***	***
Product 3	**	***	**	**	**	**	**	***
Web-site	****	**	***	****	***	****	****	***

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